

rates rise and fall throughout the economy. But they are also available with a fixed rate if you shop around.

As I mentioned, you may want to transfer your car loan to a HELOC, but because you can decide how much you want to pay back each month with a home equity line, it can be tempting to make small monthly payments. Don't. Dragging out repayment gets expensive, so you have to be disciplined, which is why it's a smart idea to pay off your home equity line over the same number of years it would have taken to pay off your car loan. Remember, if for any reason you can't make your payments—say you lose your job or have a medical emergency—your home is on the line.

One hidden danger of home equity lines: Banks reserve the right at any time to drop your credit limit to what you currently owe and stop you from using any more credit. In recent years this nasty move has become more common, so beware.

Before You Take Out a HEL or a HELOC, Read This

As you've seen, it can be very risky to transfer your high-rate debt to either a home equity loan or line of credit. Do not consider it unless you do the following:

- **Know how the tax break works.** The interest you pay on a home equity loan or line of up to \$100,000 is deductible, meaning you can subtract it from your taxable income when you fill out your tax return. The interest on amounts over \$100,000 is not deductible unless you're using the money for home improvements; in that case, you can deduct the interest on a loan of up to \$1 million.

Here's what that tax break means in dollars. Say you owe \$1,000 on your home equity loan and your interest rate is 8%. If you pay it off in one year, you will also pay \$80 in interest. If you're in the 25% tax bracket, you will save \$20 (25% of \$80) at tax time if you itemize your deductions. So after you factor in your tax savings, the interest you actually paid was just \$60. (\$80 minus \$20 in tax savings is \$60.)

Another way to look at it is that the after-tax interest rate on